BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:

Staff Climate Leadership and
Community Protection Act (CLCPA)
Panel

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Q. Members of the Department of Public Service Staff (Staff) Climate Leadership and Community Protection Act Panel (CLCPA Panel or Panel) please state your names, employer, and business address.

A. Our names are Caitlyn Edmundson, Arturo Lua Castillo, and Minji Ham. We are employed by the New York State Department of Public Service (the Department). Ms. Edmundson and Mr. Lua Castillo's business address is Three Empire State Plaza, Albany, New York 12223-1350. Ms. Ham's business address is 125 E Bethpage Rd, Plainview, New York 11803.

Q. Ms. Edmundson, what is your position in the Department?

A. I am employed as a Principal Economist in the Office of Regulatory Economics.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Science in Economics and a Bachelor of Arts in Mathematical Sciences from Binghamton University, both in 2010. I received a Master of Science in Agricultural, Environmental, and Regional Economics from the

Pennsylvania State University in 2012. I have been employed by the Department since 2012.

Q. Have you previously testified before the Commission?

A. Yes. I have testified before the Commission in many rate proceedings. Most recently, in Cases 24-E-0322 and 24-G-0323, Niagara Mohawk Power Corporation d/b/a National Grid (NMPC); Cases 24-E-0060 and 24-G-0061, Orange and Rockland Utilities, Inc. (O&R); Case 23-G-0627, National Fuel Gas Distribution Corporation (NFG); Cases 22-E-0317 and 22-E-0319, New York State Electric & Gas Corporation and Rochester Gas and Electric Corporation (NYSEG); Cases 22-E-0064 and 22-G-0065, Consolidated Edison Company of New York, Inc. (Con Edison or the Company); and Case 20-E-0428, Central Hudson Gas & Electric Corporation (Central Hudson).

Q. Mr. Lua Castillo, what is your position in the Department?

A. I am employed as a Policy Analyst in the Office of Markets and Innovation.

Q. Please describe your educational background and professional experience.

A. I received a Master of Arts degree in Latin American Caribbean and US Latino Studies from the State University of New York at Albany in 2023. Previously, I received Bachelor of Arts degrees in Economics and in Latin American, Caribbean, and US Latino Studies from the State University of New York at Albany in 2020. Prior to joining the department in April of 2024 my most recent work was as a teaching assistant at SUNY Albany and as an Energy Justice Researcher for Mid-Hudson Energy where I specialized in interdisciplinary research encompassing demographics, sociological phenomena, and building stock analysis.

Q. Have you previously testified before the Commission?

A. No, I have never previously testified before the commission.

Q. Ms. Ham, what is your position in the Department?

A. I am employed as a Policy Analyst 1 in the Office of Markets and Innovation.

Q. Please describe your educational background and professional experience.

A. I received a Master of Public Administration Degree with specialization in Policy Analysis and Evaluation from Baruch College Austin W. Marxe School of Public and International Affairs. Also, I attended Ewha Womans University in Seoul, South Korea, where I received a Bachelor of Science Degree in Life Sciences. I joined the Department in 2023. Before joining the department, I was an Administrative Specialist at the Korean Consulate General in New York, where I researched state and local government policies for benchmarking and coordinated exchanges between Korean and U.S. state and local governments.

Q. Have you previously testified before the Commission?

A. No.

Summary of Testimony

Q. Panel, what is the purpose your testimony in these proceedings?

A. We will present our review of Con Edison's rate filing, as well as this and other Department Staff Panels' recommended modifications, in the

context of Sections 7(2) and 7(3) of the Climate Leadership and Community Protection Act (CLCPA).

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes. We will refer to, and have relied upon, several responses to Department Staff Information Requests (IRs), all of which are included in Exhibit___(SCLCPAP-1). We will refer to these IR responses by the designation given to them by the Department, e.g., DPS-123.

Q. Is the Panel sponsoring any other exhibits?

A. Yes. We are also sponsoring two additional exhibits.

Q. Please briefly describe these exhibits.

A. Exhibit___(SCLCPAP-2) contains graphs showing the Company's emissions projections. Exhibit___(SCLCPAP-3) contains a comparison between the forecasted emissions reductions based on Company's rate filing and Staff's recommended modifications.

Background on CLCPA

Q. What major obligations does the CLCPA impose on the Commission?

A. The CLCPA establishes deadlines by which Commission-established programs must meet specific clean energy goals. For example, the CLCPA added Section 66-p to the Public Service Law, or PSL, which requires, among other things, that the Commission establish a renewable energy program under which the State's jurisdictional load serving entities (LSEs) procure a minimum of 70 percent of the State's electric load from renewable sources by 2030. It also requires the Commission to establish a program by which the statewide electrical demand system is zero emissions by 2040. Other requirements under PSL Section 66-p include that the Commission shall establish programs to require the procurement of nine gigawatts (GW) of offshore wind by 2035, six GW of photovoltaic solar generation by 2025, and three GW of statewide energy storage capacity by 2030.

Q. Are there requirements of the CLCPA that are applicable to any Commission action?

A. Yes, CLCPA Sections 7(2) and 7(3) apply to determinations the Commission makes, including decisions in rate proceedings.

Q. Is the Panel familiar with CLCPA Section 7(2)?

A. Yes. While none of the members of the Panel are attorneys and thus cannot speak to specific legal requirements, we are generally familiar with CLCPA Section 7(2).

Q. Please explain the Panel's understanding.

A. CLCPA Section 7(2) requires all State agencies, including the Commission, to consider whether certain specified final agency actions are inconsistent with or will interfere with the attainment of the statewide greenhouse gas (GHG) emissions targets established by the New York State Department of Environmental Conservation (DEC) under Environmental Conservation Law (ECL) Article 75. Thus, final Commission decisions are subject to the evaluation required under Section 7(2).

Q. If a decision is determined to be inconsistent with the attainment of emissions targets established in Article 75, what course of action does the CLCPA require?

A. Section 7(2) states that where a decision is deemed to be inconsistent with, or to interfere with, the attainment of the statewide GHG

emissions targets, the deciding agency must provide a detailed statement of justification as to why such targets or criteria may not be met and identify alternatives or GHG mitigation measures to be required where such project is located.

Q. Has the Commission issued any orders addressing Section 7(2) of the CLCPA specific to rate plans?

A. Yes. On August 12, 2021, the Commission issued an Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements in Cases 19-G-0309 and 19-G-0310 (2021 Rate Order), which adopted a Joint Proposal (JP) establishing rate plans for KeySpan Gas East Corporation d/b/a National Grid (KEDLI), and Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY). In that order, the Commission specifically found that Section 7(2) of the CLCPA applies to rate cases. The Commission has since undertaken the analysis required under Section 7(2) in rate cases initiated by NMPC, Central Hudson, NYSEG, RG&E, and Con Edison, including in Con Edison's previous rate proceedings, Cases 22-E-0064 and

22-G-0065.

Q. Is the Panel familiar with CLCPA Section 7(3)?

A. Yes. As we stated earlier, none of the members of the Panel are attorneys and thus cannot speak to specific legal requirements; however, we are generally familiar with CLCPA Section 7(3).

Q. What is your understanding of the requirement of Section 7(3) of the CLCPA?

A. CLCPA Section 7(3) provides that, in issuing certain administrative approvals and decisions, State agencies and public authorities shall not disproportionately burden disadvantaged communities and must also prioritize reductions of GHG emissions and co-pollutants in disadvantaged communities.

Q. Are there any further CLCPA provisions regarding disadvantaged communities that are applicable to rate cases?

A. Yes. There are provisions of ECL Article 75 and PSL Section 66-p that require the Commission to ensure that its clean energy programs also provide specific benefits to disadvantaged communities.

Q. Has the Commission applied Section 7(3) of the

CLCPA in any rate cases?

A. Yes, in each of the Commission's recent rate cases for almost all of the State's investor-owned utilities, we mentioned earlier.

Review of Commission Policy on CLCPA

Q. What role, if any, do the prior Commission orders that have applied Section 7(2) and 7(3) play with respect to your review of the present rate filing?

A. We apply prior relevant orders to guide analysis of the proposed rate plan. Here, we reviewed the Company's rate filings, as well as the modifications we are recommending, in light of Commission orders that applied Sections 7(2) and 7(3) of the CLCPA in prior rate cases.

Q. Are there other relevant orders or proceedings that the Panel considered?

A. Yes. The Commission has commenced two statewide proceedings that also provide guidance regarding CLCPA compliance. First, the Commission commenced a CLCPA proceeding through its May 12, 2022, Order on Implementation of the Climate Leadership and Community Protection Act in Case 22-M-0149, referred to as the CLCPA Order.

Second, the Commission has established a proceeding to review long-term plans for gas utilities as discussed in the Commission's May 12, 2022, Order Adopting Gas System Planning Process, or Gas Planning Order, in Case 20-G-0131.

Q. Please describe the CLCPA Order.

A. The CLCPA Order has several purposes. First, it provides directives to track and assess progress made towards meeting CLCPA targets and to identify further actions that are necessary to help achieve those targets. Second, the Order requires that Department Staff present an annual informational item to the Commission regarding that progress. It also initiates a process to, among other things, establish statewide GHG emissions reporting guidelines for the utilities.

Q. How did the CLCPA Order initiate a process to establish GHG emissions reporting guidelines?

A. The Commission directed the investor-owned utilities, including Con Edison, to work with Staff to develop a proposal that builds on GHG emissions inventory requirements from recent

rate orders. The Commission directed these utilities to collectively propose a methodology for use in an annual GHG Emissions Inventory Report to be filed by individual utilities. The methodology employed must be consistent with relevant provisions of the CLCPA. Through these annual reports, the investor-owned utilities will estimate the current direct and indirect GHG emissions associated with their respective businesses, including upstream emissions from imported fossil fuels, local distribution emissions, and end-use or behind the customer meter emissions. The Joint Utilities filed their Proposal for an Annual Greenhouse Gas Emissions Inventory Report on December 1, 2022. After further consultation with Staff, the Joint Utilities supplemented that proposal on May 31, 2023. Public comments on the Joint Utilities' proposal were due on September 5, 2023, and we anticipate that the Commission will subsequently issue an order regarding this matter.

Q. Did the Commission require any utilities to provide any GHG emissions inventory report when they file rate cases?

A. Yes. The CLCPA Order requires gas utilities, including Con Edison, to provide an assessment of the impacts that the utility's specific investments, capital expenditures, programs and initiatives included in their rate filing will have on the greenhouse gas emissions from its gas network, specifying the potential emissions impacts of each.

CLCPA §7(2) - GHG Emissions

Q. What analysis has the Panel performed regarding CLCPA §7(2)?

A. We have compared the components of the rate plans Staff recommends in these proceedings with direction given by the Commission in past cases to ensure consistency with achieving the CLCPA's GHG emissions reduction targets. Additionally, we have conducted an analysis of the GHG emissions impacts of the gas rate plan Staff recommends in its direct testimony in these proceedings.

Q. Please summarize the Company's testimony regarding GHG emissions.

A. As described in the testimony and exhibits of the Company's Clean Energy Transition (CET)

Panel, the Company states that its proposed projects and programs in these rate proceedings will result in an estimated net reduction in GHG emissions of 39,268 metric tons of carbon dioxide equivalent, or MT CO2e, over a potential three-year rate plan, with reductions of 12,794 MT CO2e occurring in the Rate Year. According to Schedule 1 of Exhibit___(CETP-2), this RY1 reduction includes 10,374 MT CO2e from the Company's natural gas system, 1,498 MT from the Company's vehicle fleet, and 922 MT from the Company's natural gas building facilities. This reduction doesn't include emissions from end-user combustion. According to page 73 of the Company's CET Panel, the Company calculated the emissions impacts of its proposed projects and programs according to the Natural Gas Sustainability Institute Methodology and emissions factors for GHG inventory, as well as emissions factors from the Environmental Protection Agency (EPA) set forth in 40 CFR Part 98, Subpart W, Table W-7.

Q. Does the Panel agree with the Company's use of the EPA's emissions factors to calculate

emissions reductions?

A. Yes. The EPA emissions factors are currently the accepted standard for federal emissions reporting. However, the Joint Utilities do have a proposal regarding applicable emissions factors pending in Case 22-M-0149, but the Commission has yet to adopt particular emissions factors for use by gas utilities, such as Con Edison.

Q. Are the EPA emissions factors CLCPA-compliant?

A. Technically no, as they are outdated and do not consider upstream emissions. However, until the Commission adopts a CLCPA-compliant alternative, the use of the EPA emissions factors is reasonable as it will yield directionally consistent emissions impacts, provided that the same factors are used across the board for comparison. Thus, while we do not advocate using the EPA emissions factors for analysis in the long-term, using them in this case will aid in assessing the consistency of Con Edison's rate plan with the CLCPA's GHG emissions reduction targets.

Q. With regard to GHG emissions, what does the

Commission require utilities provide with their rate filings?

A. On page 16 and pages 47-48 of the CLCPA Order, the Commission directed the utilities "to include, in all future rate filings, an assessment of the impacts that the utility's specific investments, capital expenditures, programs and initiatives included in the rate filing will have on its GHG emissions from its gas network, specifying the potential emissions impacts of each."

Q. Does the Company's filing fulfill this requirement as laid out in the CLCPA Order?

A. Yes.

Q. Has the Panel reviewed the emissions impacts of the Company's proposed capital expenditures, programs, and initiatives, as required by the CLCPA Order?

A. Yes. In response to DPS-334 and its supplements, included in Exhibit___(SCLCPAP-1), the Company provided the workpapers it used to calculate the emissions impacts of its proposed projects and programs, as required by the CLCPA Order.

Q. Has Con Edison identified any gas investments that will decrease its emissions?

A. Yes. The Company proposes to continue the Gas Infrastructure Replacement and Reduction and the Service Replacement Programs. These projects are discussed in more detail in the initial testimony of the Staff Gas Reliability and Supply (SGRS) Panel.

Q. How do the Company's emissions reduction estimates impact the Company's overall emissions from the natural gas system and emissions from end-user combustion for the Rate Year?

A. The Company's response to DPS-334 and its supplements, included in Exhibit___(SCLCPAP-1), provides data on the Company's emissions from imported natural gas, otherwise known as upstream emissions, emissions from the natural gas system, emissions from end-user combustion, and emissions from the non-gas system. Those data indicate that, in total, the total Company emissions will increase by 867,405 MT CO2e from 2023 to the Rate Year. Focusing on emissions from the natural gas system and emissions from end-user combustion more specifically, the

Company projects it will reduce emissions from the natural gas system by 1.69 percent and that emissions from end-user combustion will increase by 4.73 percent from 2023, the year with the most recently available data, to the Rate Year in 2026. The Company also projects that its total emissions will increase by approximately 13 percent between 2005, the first year for which the Company has provided data for all categories of emissions, and the Rate Year. Exhibit___(SCLCPAP-2) contains graphs showing the Company's emissions projections.

Q. How does this compare to Staff's recommended modifications to the Company's rate filing?

A. In the Rate Year, the total emissions increase for a rate plan including Staff's recommended modifications to the Company's rate filing is 1,052,851 MT CO2e. Staff's recommendations will result in 185,446 MT CO2e more emissions than the Company's estimates for the Rate Year. Of those emissions impacts, 10,395 MT CO2e in emissions reductions are related to Staff's estimate of the Company's emissions from the natural gas system and 557,250 MT CO2e in

emissions increases are related to our estimate of the emissions from end-user combustion stemming from Staff's adjustments to the Company's forecasts of gas sales volumes. Exhibit___(SCLCPAP-3) contains a comparison between the emissions reductions of the Company's rate filing and our recommended modifications.

Q. How do Staff's projections of the Company's emissions from the natural gas system and emissions from end-user combustion for the Rate Year impact Staff's projections of the Company's overall emissions totals?

A. Between 2023 and the Rate Year in 2026, the Panel projects that the Company will reduce its emissions from the natural gas system by approximately 1.69 percent and that its emissions from end-user combustion will increase by 6.63 percent. Staff also projects that the Company will increase its total emissions by 14 percent between 2005 and the Rate Year.

Q. Please describe the differences between the Company's and Staff's emissions impacts, as shown in Exhibit___(SCLCPAP-3).

A. There are three main differences between the Company's and our calculated emissions reductions totals. First, the SGRS Panel recommends that the Company maintain its current level and not purchase additional Zero-Emission Vacuum units under the Gas Methane Capture Program. This Staff recommendation will result in a 164 MT CO2e emissions increase in RY1 as compared to the Company's emissions projections. Second, the SGRS Panel recommends adjustments to the Customer Connections (New Business) Program. As discussed in the initial testimony of the SGRS Panel, Local law 154 will significantly lower the number of new service requests from 2026 through 2028, as the law restricts the usage of fossil fuels in new buildings. Currently the law applies to new buildings under seven stories, however, it will expand to all building heights starting in the second half of 2027. This Staff recommendation will result in a total of 1,096 new service requests in RY1, which is fewer than the Company's forecast of 1,513 new service requests, and results in a 73 MT CO2e emissions reduction as compared to the

Company's emissions projection. The forecast allocation of the 1,096 new service requests is 272 for Gas Conversion, 326 for General Commercial, and 498 for General Residential. Third, the SGRS Panel recommends the discontinuation of the Distributed Natural Gas Procurement Pilot Program. This Staff recommendation will result in a 25,464 MT CO2e increase in emissions from imported natural gas in RY1 as compared to the Company's emissions projections.

Q. In addition to providing estimates of the Company's emissions from the natural gas system, the Panel is providing estimates of emissions from end-user combustion. Why?

A. We are estimating emissions from end-user combustion for contextual information. We take no position on whether gas utilities should account for the emissions from end-user combustion. We merely provide this information to enhance the record available to the Commission in these proceedings.

Q. Based on the emissions reductions analysis, does the Panel have a recommendation regarding

whether adopting the rate plan Staff recommends for Con Edison would be consistent or inconsistent with attainment of the CLCPA's GHG reduction targets?

A. No.

Q. Why not?

A. While Staff's recommended modifications to the rate plan include a number of features that will help the Company attain the GHG emissions targets of the CLCPA, and one that will allow the Company to reduce the Company's emissions from the natural gas system, we recognize that, when including end-user emissions, the rate plan reflects an increase in overall GHG emissions. Further, determinations regarding the Commission's preferred GHG emissions factors and the nature and application of the cap and invest program to gas utilities and their customers remain outstanding. Thus, we have endeavored to provide a record on which the Commission can determine whether the rate plan it adopts for Con Edison would be consistent with or would not interfere with attainment of the CLCPA's GHG reduction targets.

Q. Are there other components that should be considered when assessing consistency with achieving the CLCPA's GHG emissions reduction targets?

A. In addition to the energy efficiency programs, non-pipes alternatives (NPAs) and demand response programs operated by the Company would result in less gas usage during the Rate Year than without these programs. Consequently, GHG emissions will also be lower than they otherwise would be, helping to align Staff's recommended rate plans with the goals of the CLCPA.

Q. Does the Company propose existing or new NPA activities in this proceeding?

A. The Company's proposals in this proceeding amount to continuing the Company's existing efforts to implement NPA projects, which are beginning to gain traction according to the Company's March 17, 2025 "Benefit Cost Analysis: Non-Pipes Alternative to Gas Infrastructure Replacement" report filed in Case 22-G-0065.

Q. Does the Company propose any gas demand response programs?

A. The Company's proposals in this proceeding

amount to continuing the Company's existing interruptible customer gas demand response program, however, as part of requirements imposed by the Commission in its September 20, 2024 Order Regarding Long-Term Natural Gas Plan and Requiring Further Actions in Case 23-G-0147, the Company filed a firm customer gas demand response pilot proposal on January 21, 2025. If approved by the Commission, the firm customer gas demand response pilot may result in further system and environmental benefits than those already identified above.

Q. Even if the Commission determined that the rate plan it establishes is inconsistent with the attainment of the CLCPA's GHG emissions reduction targets, could such a rate plan be justified?

A. Yes. As the Commission has explained on page 73 of the 2021 Rate Order, it does not conduct the analysis required by CLCPA §7(2) "in a vacuum." Further, the Commission explained that its "evaluation under CLCPA §7(2) and (3) is made in the context of the Commission's core responsibility to ensure that '[e]very gas

corporation, every electric corporation and every municipality ... furnish[es] and provide[s] such service, instrumentalities and facilities as shall be safe and adequate and in all respects just and reasonable.'" We note that customers can continue to use gas and apply for gas service, and Con Edison is generally obligated to provide applicants gas service subject to relevant local and state laws, as well as building code standards. Furthermore, customers depend on Con Edison's ability to provide safe, adequate, and reliable service for heating, hot water, and cooking. Thus, if the Commission were to find that Staff's overall recommended rate plan is inconsistent with or would interfere with the attainment of the CLCPA's statewide GHG emissions targets, the Commission may find that adopting the rate plan is nonetheless necessary to enable Con Edison to continue to provide safe, adequate, and reliable service to its customers and provide service to applicants who are entitled to request service.

Q. If the Commission were to find that the overall rate plan Staff recommends is inconsistent with

or would interfere with the attainment of the CLCPA's statewide GHG emissions targets, do you recommend the Commission identify any additional GHG mitigation measures?

A. The rate plan we recommend, in concert with other Commission actions, already requires what could be termed GHG mitigation measures.

Q. Please explain.

A. The rate plan we recommend complies with directives provided by the Commission following Staff's mid-term review of Con Edison's and other utilities' energy efficiency and building electrification portfolios, as approved by the Commission in Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative. The Commission's directives in two recent orders issued on May 15, 2025 - the Order Authorizing Non-Low Income Energy Efficiency and Building Electrification Portfolios for 2026-2030, and the Order Authorizing Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolio for 2026-2030 – in Case 18-M-0084 require that energy efficiency and building electrification funding be removed from base

rates but will continue to be funded through applicable surcharge mechanisms. Therefore, when viewing Staff's recommended rate plan together with the Commission's other actions impacting Con Edison, the Commission can find that its action includes GHG mitigation measures.

CLCPA §7(3) - Disadvantaged Communities

Q. Please summarize the Company's testimony regarding disadvantaged communities.

A. On page 16 of the CET Panel testimony, the Company states the investments in their plan will continue the Company's focus on customers in disadvantaged communities and improvements to existing programs. In addition, the Company included its 2024 Annual Disadvantaged Communities Report as Exhibit___(CETP-3). Specifically, as part of the Company's Electric Infrastructure and Operations Panel, Gas Infrastructure and Operations Panel, and Shared Service Panel's testimonies, the Company included multiple projects and programs that it argues would enhance the overall safety and reliability of its electric and gas systems,

while not creating disproportionate construction or operational burdens on those neighborhoods.

Q. Do the Company's rate filings include any protections for low-income customers, specifically those located in disadvantaged communities?

A. Yes. On pages 59 through 64 of the Company's Customer Service Panel testimony, the Company details the programs and efforts it designed to support vulnerable customers. This includes the statewide Energy Affordability Program (EAP). The EAP provides bill discounts to electric and gas customers who receive benefits under qualifying public assistance programs, including the Home Energy Assistance Program, Medicaid, Safety Net Assistance, Supplemental Nutrition Assistance Program, Supplemental Security Income, Temporary Aid to Needy Families program, Veteran's Pension and Survivors Benefit, Federal Public Housing Assistance, and the Lifeline Telephone Service Program. In addition to the EAP, the Company provides payment agreement offerings tailored to customer preferences such as the Company's energy share program and its

budget billing offering. The Company expects to have further protections in place within the near future through Statewide Solar for All (SSFA) and the Renewable Energy Access and Community Help (REACH) programs.

Q. Has the Commission determined that utility filings that include customer assistance programs similar to those proposed by Con Edison are consistent with the CLCPA's disadvantaged communities' provisions?

A. Yes. The Commission's most recent rate order for NYSEG and RG&E, issued on October 12, 2023, in Cases 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320, on page 58 determined that the JP in that case did not impose disproportionate burdens on disadvantaged communities in part because "the JP provides for the same type of consumer protections to low- and moderate-income customers as JPs which we previously have found consistent with the CLCPA's [disadvantaged communities] provisions. The JP here provides for bill payment assistance consistent with the Commissions' Energy Affordability policy to help offset the impacts of the rate increases."

Prior to this, the Commission's rate order adopting a JP for Con Edison on July 20, 2023, in Cases 22-E-0064 and 22-G-0065, page 145, determined that the JP satisfied the requirements as it "has a robust EAP that is available to all qualified customers that reside in disadvantaged communities, the JP contains provisions that provide financial incentives to low-income customers, such as the DER Make-Ready for Low-Income Customers, and the Company is continuing to offer energy efficiency … and other programs that provide expanded incentives to low-income customers."

Q. Do the CLCPA-related proposals put forth by Con Edison benefit individuals in disadvantaged communities?

A. Yes. Page 77 of the Company's CET Panel testimony and supporting white papers of each of the respective operating areas proposing investments provide additional details regarding the safety, reliability environmental and customer service benefits of these investments.

Q. What information did the Company provide regarding the impacts of its proposals on

disadvantaged communities?

A. The Company states that it provided information regarding the location of projects relative to disadvantaged communities in whitepapers throughout its exhibits as evidenced in its responses to DPS-258 and DPS-259. In its response to DPS-689, particularly in the attachment "DPS_28_689_Attachment 1.xlsx", the Company provides a list of specific projects it identifies as being located within or impacting disadvantaged community areas. These responses provide the location of the projects, rationale behind the location, and information regarding how those projects serve, benefit and impact customers both in and outside of disadvantaged communities.

Q. Is there additional analysis of the impacts on disadvantaged communities that the Panel drew from the whitepapers the Company provided?

A. The information the Company included in relevant whitepapers for electric and gas infrastructure investments indicate that the Company generally decides the location of these investments independent from whether or not the location is

in a disadvantaged community, while maintaining awareness of project locations. Based on our review of the whitepapers in Exhibit_(EIOP-7) through Exhibit_(EIOP-12) and Exhibit_(GIOP-1), we find that the Company's reliance on system need, design standards, reliability, and risk models to guide the need and location of investment decisions is reasonable and does not place a disproportionate burden on disadvantaged communities.

Q. Did the Panel also investigate the rationale behind the Company's proposed locations for gas system investments?

A. Yes. In its work paper titled "DPS_28_689_Attachment 1" provided in response to DPS-689, and in white papers throughout Exhibit___(GIOP-1), the Company notes whether Leak Prone Pipe (LPP) replacement projects are located in or likely to affect disadvantaged communities, as well as the linear footage, year installed, pipe size, and material. This information is essential to evaluating the scope of work, amount of depreciation of the current pipe and probability of leaking, the system's

current and future capacity, and safety.

Q. Did the Panel further investigate how the Company's projects affect disadvantaged communities?

A. Yes, we reviewed each of the projects fully or partially located within disadvantaged communities, or likely to affect disadvantaged communities, to assess their anticipated impacts. The gas projects that are partially located within disadvantaged communities are the Company's LPP removal and replacement projects; the Gas Infrastructure Replacement or Reduction Program, and the Distribution Integrity Main Enhancement Program.

Q. Describe the impact of the LPP removal and replacement projects on the communities in which they take place.

A. The removal and replacement of LPP would decrease the risk of leaks an unexpected ignition, thus reducing the risk of damage to people or property. Replacements generally increase the safety of the system in those areas by reducing potential health impacts resulting from emissions while reducing the likelihood of

service interruptions. LPP removal or replacement also minimizes the number of times the Company may need to dispatch vehicles and equipment to respond to repair and address leaks in those areas, minimizing emissions and disturbances from those vehicles and equipment as well.

Q. Are there negative impacts of the LPP removal and replacement projects on the communities in which the projects occur?

A. Generally, these projects require the use of construction equipment which may cause temporary increases in air pollutants due to vehicle exhaust. Construction activity could also impose other disruptions such as road closures/restrictions, dust, noise, etc.

Q. Would these negative impacts amount to a disproportionate burden on disadvantaged communities?

A. No, these burdens would be of limited duration and would be outweighed by the long-term benefits of decreased emissions and improved safety and reliability of the gas delivery system for those in the area of the projects.

In addition, as we stated above, we did not find any evidence that the Company is disproportionately impacting disadvantaged communities in its decision-making process for its construction or siting processes regarding these projects.

Q. What shared service project investments did the Company propose that are located within disadvantaged communities?

A. The Company proposes two shared service projects and investments in Exhibit___(SSP-4) within disadvantaged communities that include the EV Charging Expansion & Clean Energy Program Support and the HAZMAT Energy Storage Response Program. These projects are not likely to burden disadvantaged communities in the same manner typical construction projects would, as the EV Charging and Expansion Program involves installing EV chargers only at the Company's workplaces and satellite locations, and not in residential neighborhoods. Furthermore, the HAZMAT Energy Storage Response Program does not propose construction and its related impacts as it involves trainings, inspections, and

emergency response procedures. In addition, these projects are likely to benefit the communities in which they are placed through reduced emissions and improved reliability in events requiring emergency response. The Company seeks to support social equity in its EV Charging Expansion & Clean Energy Support program by prioritizing projects located within disadvantaged communities where feasible so that the benefits of fleet electrification can be distributed to those communities.

Q. What electric investments did the Company propose that are being constructed within the boundaries of a disadvantaged community?

A. In its Whitepapers in Exhibit___(EIOP-7) through Exhibit___(EIOP-13), the Company identified proposed electric projects that it would either partially or fully construct within disadvantaged communities. These include, but are not limited to, system wide projects such as the Network Transformer Relief Program, the structural and Infrastructure upgrades program, and the Emergent Load Relief Program; projects that impact numerous disadvantaged communities

such as the East New York, Hunts Point, LaGuardia Airport and Zerega Avenue Electrification Hotspots; location specific substation projects such as the Fox Hills, Parkchester, and Mott Haven substation projects, as well as the Substation Operations (SSO) Storm Hardening Program. The Company also identified projects that will serve disadvantaged communities by increasing resiliency, such as the Substation Enclosure program, the Critical Facilities resiliency program, and the Primary Feeder Resiliency Program.

Q. How did the Company determine where to site these projects?

A. The whitepapers in Exhibit__(EIOP-7) through Exhibit__(EIOP-12) provide justification for the project and investment locations. The Company generally states that the locations of these projects are based on identified system needs, design standards, reliability, and electric system topology; and that disadvantaged communities were not specifically targeted. The Company also added that these projects cannot be located elsewhere.

Q. Who receives the benefits of these electric projects?

A. The benefits of reliability are both broad and hyper-local - the most immediate beneficiaries of reliability projects are those that would otherwise have experienced an outage, and ratepayers benefit from a more reliable system.

Q. Do the impacts from these projects represent a disproportionate burden on disadvantaged communities?

A. No. For most electric infrastructure projects, residents of these disadvantaged communities would likely experience temporary negative impacts of these projects that would normally be associated with any construction, irrespective of location. Residents would likely have to deal with the inconveniences of additional road traffic, road closures, construction debris, and construction vehicles on roadways, as expected with any project irrespective of its location. That is, disadvantaged community residents will not experience a higher level of burden than other residents outside of disadvantaged communities for these projects.

Q. Are the Company's electric infrastructure projects concentrated within disadvantaged communities?

A. Generally speaking, most electric infrastructure projects are relatively well distributed throughout the Company's service territory, however, there are several infrastructure construction "hotspots" located within disadvantaged community areas.

Q. Did the Company identify any negative impacts to disadvantaged communities because of the construction of these projects?

A. Yes. The Company identified the temporary impacts of construction regarding the various Electrification Hotspots in Exhibit__(EIOP-7).

Q. Does the Company identify any measures it is taking to minimize impacts in these hotspots?

A. Yes. In Exhibit_(EIOP-7) pages 231, 242, 253, 254, and 264. The Company notes its "dig once" approach to reduce construction disturbances in these projects over time which occur primarily in and around Disadvantaged Communities. This approach coordinates various construction projects at a single site in such a way as to

minimize the instances of necessary excavation.

Q. Does Staff have any recommendations regarding the Company's proposed electric investments?

A. Specific recommendations related to the majority of these projects are sponsored by the Staff Electric Infrastructure and Operations Panel (SEIOP) and Staff Electric Resilience and Reliability Performance Mechanism Panel (Staff ERRPM Panel). Our understanding is that the SEIOP recommends adjustments related to the Network Transformer Relief Program, Emergent Load Relief Program, East New York Electrification Hotspot, LaGuardia Airport Electrification Hotspot, and Fox Hills substation project. We understand that the Staff ERRPM Panel recommends adjustments to the Substation Enclosure Upgrade Program, Critical Facilities Resiliency Program, and Primary Feeder Resiliency Program.

Q. Based on your review of the Company's proposals and Staff's recommended modifications to those proposals, what does the Panel recommend the Commission determine regarding CLCPA Section 7(3)?

A. We recommend the Commission determine that the Company's rate filings, with the implementation of the various Staff panels' recommended modifications, do not disproportionately burden disadvantaged communities. As we have explained, any projects located within disadvantaged communities will improve safety and reliability, and decrease GHG and other emissions, within the communities in which they are located. Thus, the Commission has ample grounds on which to find that Staff's recommended rate plan would not disproportionately burden disadvantaged communities.

Q. Notwithstanding the Panel's finding that the impacts on disadvantaged communities are not disproportionate, does the Panel have any concerns regarding the Company's process for avoiding such disproportionate burdens?

A. Yes. We are concerned that the Company's outreach efforts to engage with disadvantaged communities during the project planning phases require improvement.

Q. What leads you to believe that the Company's

disadvantaged community outreach efforts need improvement?

A. In DPS-259, Staff asked the Company to identify, among other things, "any public participation or stakeholder engagement undertaken by the Company … and summarize feedback received" for each capital project or other infrastructure-related projects that are fully or partially located in a disadvantaged community. The Company's response to DPS-259 indicates that such information can be found in project and program white papers that appear in a substantial list of Company-provided exhibits from the Electric Infrastructure and Operations Panel, Gas Infrastructure and Operations Panel, Customer Energy Solutions Panel, Customer Operations Panel, Information Technology Panel, Shared Services Panel, and Cyber and Physical Security Panel. In its response to DPS-689 – a follow-up IR to DPS-259 – the Company identifies 27 projects located within or likely to affect disadvantaged communities as shown in Attachment 1 of that response (disadvantaged community projects). The Company's whitepapers related to

these disadvantaged community projects, however, show that the Company has actually described its community outreach efforts in only 3 of the 27 projects – approximately 11 percent.

Q. What conclusion do you draw from the information provided by the Company?

A. Based on the Company's response to IR DPS-259 – that pertinent information related to the Company's outreach efforts are included in project whitepapers – and also the Company's whitepapers themselves – which do not include any significant description of outreach efforts for 89 percent of the disadvantaged community projects – we must conclude that the Company has not made any outreach efforts for 89 percent of the disadvantaged community projects.

Q. What does the Panel recommend?

A. We have a recommendation for the Company to supplement the record in this proceeding, and two recommendations for the Commission to require the Company to provide additional information in its future rate filings.

Q. What information is needed to supplement the record in this proceeding?

A. To the extent that the Company has already completed outreach efforts related to the 27 disadvantaged community projects, it should provide that information, through updates to its white papers or otherwise, as part of its rebuttal testimony to include information on such efforts and the feedback received, consistent with the questions posed in DPS-259. If the Company has instead not performed outreach activities related to the disadvantaged community projects, the Company should make that clear in its rebuttal testimony for the Commission to consider.

Q. What information should the Commission require Con Edison to provide in its future rate filings?

A. There are two additional pieces of information the Commission should require the Company to provide in the whitepapers it submits in future rate proceedings. First, the whitepapers should include a section describing past, present, and planned future outreach efforts applicable to each project, regardless of whether the project is located within or is likely to affect a

disadvantaged community. This information will be helpful to: (1) determine the level of Company effort in performing outreach to impacted communities; (2) determine if the Company has adequately explained the potential burdens and rationale for projects within disadvantaged communities; and (3) determine whether the projects represent a disproportionate burden on disadvantaged communities.

Q. What is the second piece of information the Commission should require the Company to provide in future rate proceedings?

A. Second, the Commission should require that whitepapers the Company submits in future rate proceedings should include clear designations of whether such project will be located partially within, wholly within, or is likely to adversely impact disadvantaged communities, preferably within the table at the beginning of each project whitepaper, within the "Project/Program Summary" section. This will help: (1) more easily identify projects which are likely to impact disadvantaged communities and, (2) help

determine if those impacts are represent a disproportionate impact on disadvantaged communities.

Q. Does this conclude your testimony at this time?

A. Yes.